

A Resource-based View of Entrepreneurial Ecosystems

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I. Introduction

Entrepreneurial ecosystems are typically defined as an agglomeration, bound to a certain region with business inter-relations between the actors (Spilling, 1996). As actors, entrepreneurs, companies and support institutions interact and nurture the creation of new start-up companies (Stam 2014). Prior research suggests without thorough specification and theoretical foundation that interrelationships and certain ‘capitals’ (human capital, financial capital) play a role (Isenberg 2011; ANDE 2013). Moreover, it seems that enabling forces are accompanied by accelerating forces to make up a vital start-up ecosystem. However, research actually lacks a theoretical lens to structure these factors and elements that may drive the performance and/or dynamism of start-up ecosystems. To develop such a theoretical foundation is one ambition of this article. We employ the resource-based view (Barney 1991; Grant 1991; Freiling 2004) in connection to follow-up research streams that build on this theory, such as the dynamic capability approach (Teece 2007) and the competence-based theory of the firm (Freiling et al. 2008). Instead of solely employing a theoretical lens, the article also strives for a more fine-grained understanding what the real nature of entrepreneurial ecosystems is looking like.

Developing a theoretical foundation for entrepreneurial ecosystems is not easily doable as the resource-based view (RBV) addresses competitive advantages and idiosyncrasies of companies, not of clusters of different actors. Nevertheless, prior attempts of developing a ‘relational view’ (e.g. Dyer/Singh 1998) reveal that the RBV can be employed beyond the firm level as well. This article builds on these attempts and is aware of the fact that boundaries of networks or business ecosystems are quite different from organizational boundaries.

To connect research on RBV with that on entrepreneurial ecosystems we refer to literature that addresses the resource dimension of business ecosystems more or less explicitly. This holds for research on the capitals of

entrepreneurial ecosystems (e.g. Juling et al. 2016). Capital as a term can be understood in a huge variety of ways. For the sake of connectivity of the different research bodies (RBV, entrepreneurial ecosystems) we prefer an understanding that is rooted in Austrian Capital Theory (Lachmann 1978; Foss/Klein 2012). In this vein, capital is a complex structure of resources or rather capital goods with specific properties that enables the achievement of future goals (Taghizadegan 2009, p. 94; Foss/Klein 2012).

As resource-based and competence-based approaches are belonging to the same paradigm as theories of the Modern Austrian Economics (Freiling et al. 2008), the theoretical approaches are linkable without incompatibility problems. Insofar, this article seeks to extend current research by three contributions: first, the article provides a theoretical foundation of entrepreneurial ecosystems to explain processes and outcomes. Second, the article develops resource-based theories by extending the ontological scope through addressing the business ecosystem level. Third, it connects resource-based constructs with capitals stemming from Austrian Capital Theory and allows the foundation of a previously developed model of capitals relevant to entrepreneurial ecosystems.

II. Resource-based Theory and Entrepreneurial Ecosystems

Resource-based theories principally argue that the performance of business-relevant entities can be explained in terms of specific resources. Although there is a huge variety of definitions, the term ‘resource’ has to be rather specific to respond to this explanation goal. In contrast to the very broad understanding of Wernerfelt (1984) and according to Freiling (2001, 2004) we define resources as the result of successful asset refinement processes, producing sustainable heterogeneity of the owning organization in competition and enabling it to withstand competitive forces. Insofar, there is an important divide between assets that are available in markets and, thus, do not provide the institution with heterogeneity and resources that are idiosyncratic and specific. However, resources are often no stand-alone factors but connected with both internal and often external assets to create synergies.